

Lenskart Solutions Ltd

VALUATION : \$4.5B

3 Statement Financial Model Report



₹13,882 Cr

FY27F Revenue

26.5%

4-Yr Revenue CAGR

16.71%

FY27F EBIT Margin

₹1,566 Cr

FY37F Net Profit

Company overview

Lenskart is a vertically integrated eyewear platform founded in 2010 by Peyush Bansal. Valuation stands at **\$4.5 Billion** following funding from SoftBank, Temasek, KKR, and Premji Invest. Operations encompass **10,000+ retail touchpoints across 10 countries**, anchored by a **\$400M acquisition of Japanese brand Owndays** (470+ stores across Asia-Pacific) and an internal automated manufacturing facility in Bhiwadi, Rajasthan producing over 300,000 frames monthly.

Business Model

Lenskart keeps its profit margins high and its costs low by designing and making its own eyewear in house—turning a frame that costs around ₹150 to make into a ₹700–900 retail sale. Instead of footing the bill for every new store, they blend company-owned flagship locations with a massive franchise network. Franchisees cover the local setup costs while using Lenskart's tech, supply chain, and branding, allowing the company to scale to over 1,500 stores without burning through massive capital.

In Short, Lenskart operates a hybrid D2C and franchise omnichannel model that captures the full value chain: Vertical Integration, Omnichannel Flywheel and Capital-Light Franchise Expansion into actionable recommendations.

Our Assumptions and Major observation

1. Revenue Growth Rate (%)



My Assumption : 26.0% in FY26F → 25.0% in FY27F (Historical Average: ~27.5%)

Rationale : I assume 25–26% revenue growth, driven by Lenskart's continued store expansion in India and international growth through Owndays across Southeast Asia and Japan. I expect growth to come not only from same-store sales but also from adding 300–400 stores

2. COGS as % of Revenue & Gross Margin (%)



My Assumption: COGS at 58.5% in FY26F → 58.0% in FY27F (Gross Margin: 41.5% → 42.0%)

Rationale : I assume gross margins will remain broadly stable around 42%, supported by Lenskart's in-house manufacturing at Bhiwadi, which lowers unit costs compared with traditional wholesale networks. Although store expansion increases logistics, packaging, and fulfillment costs, I expect higher manufacturing volumes, including 300,000+ frames per month, to create efficiencies that offset these additional costs.

3. SG&A as % of Revenue



My Assumption : 28.8% in FY23A → 18.9% in FY25A → 18.5% in FY27F

Rationale : I assume SG&A will continue declining as a percentage of revenue due to operating leverage. SG&A includes headquarters salaries, software, marketing, and regional management costs, which should grow slower than revenue as the business scales from ₹5,427 Cr to ₹13,882 Cr. This supports my expectation of EBIT margin expansion from 3.36% in FY23A to 16.71% in FY27F.

4. Other Expenses as % of Revenue



My Assumption : 1.0% of revenue in forecast years

Rationale: I assume other expenses at 1.0% of revenue to provide a consistent baseline for miscellaneous costs such as legal fees, regulatory compliance, franchise setup, and audit expenses. This avoids allowing year-to-year one-off fluctuations to distort the forecast.

5. Other Income as % of Revenue



My Assumption : 2.0% of revenue in FY26F and FY27F

Rationale : I assume other income at 2.0% of revenue, mainly reflecting interest earned on Lenskart's expected cash reserves of approximately ₹1,500–1,900 Cr through bank deposits, short-term fixed deposits, and liquid treasury investments.

6. Depreciation as % of PPE



My Assumption : 13.0% of PPE

Rationale : I assume a 13.0% depreciation rate based on an estimated 7–8 year useful life for store fit-outs, eye testing equipment, factory machinery, lens-cutting equipment, and technology assets. This is broadly consistent with a 7.5-year average useful life, which implies depreciation of approximately 13.3% annually.

7. Effective Tax Rate (%)



My Assumption : 25.0%

Rationale : I assume a normalized effective tax rate of 25.0% as Lenskart moves into a more stable and profitable phase. The unusually high 117.2% tax rate in FY23A was influenced by deferred tax adjustments and non-deductible losses. Going forward, I expect the tax rate to normalize toward India's standard corporate tax burden of approximately 25%, including applicable surcharge and cess.

Risks

- **Franchise Execution -**

Expanding franchise locations risks service inconsistency or prescription errors, impacting brand reputation.

- **Foreign Exchange Risk –**

Volatility in Foreign exchange rates.

Conclusion

Lenskart offers a compelling investment case, with revenue growing from **₹5,427.7 Cr (FY23A) to ₹13,882.1 Cr (FY27F) at a 26.5% CAGR**. In-house manufacturing supports **~42%** gross margins, while operating leverage lifts EBIT margins to **16.71%**, driving net income to **₹1,565.7 Cr** and operating cash flow to **₹2,785.0 Cr by FY27F**.

Our model maintains institutional discipline through linked cash flows and an explicit debt schedule, with liabilities declining from **₹1,344.0 Cr** to **₹247.5 Cr**. Disciplined working capital and capital allocation should support sustainable, risk-adjusted returns.

“

I didn't want to just build an e-commerce site for glass. I wanted to rethink every part of the eyewear experience – the selection, the fitting, the trust in prescription accuracy, the pricing transparency. All of it.

”

— **Peyush Bansal**,
Founder & CEO, Lenskart